Task 7: Questions Explanation – Group 35

A. How did Portugal's GDP per capita evolve since 1900?

Portugal's GDP per capita increased from approximately 2,000 in the 1900s to 27,000 in the 2020s, although growth varied considerably. The strongest decade increases occurred in the 1970s (+72.2%), 1960s (+61.2%) and 1990s (+40.7%). The 2010s recorded weak growth (+4.9%), while the 1910s were the only decade with a decline (−2.4%).

The expansion of the 1950s–1970s was associated with industrialisation, development plans and greater trade integration, including EFTA membership in 1960. The 1973 oil crisis disrupted this period of rapid growth. After the political transition of 1974, EEC accession in 1986 supported further integration and economic modernisation, contributing to the strong growth of the 1990s. In contrast, the sovereign debt crisis and 2011 bailout contributed to the weak performance of the 2010s.

B. How does Portugal compare with Spain, France, Germany, Belgium, Italy, Ireland and Greece?

Portugal's GDP per capita increased substantially throughout the period but remained below the average of the seven comparison countries. Its relative level rose from 49.1% in 1900 to 70.1% in 2020, peaking at 76.0% in 1990 before falling to 68.0% in 2010 and partially recovering thereafter. This indicates long-term improvement in Portugal's relative economic position, but not sustained convergence throughout the entire period.

Portugal also became more integrated into international trade: exports and imports grew as shares of GDP, and the trade deficit narrowed considerably. Nevertheless, its export share remained below the comparison-group average in 2020. Social indicators show a more mixed picture. The country-level comparison reveals substantial improvements in Portugal's social indicators, although convergence differed across dimensions. Life expectancy increased from 65.15 years in 1960, the lowest value among the countries analysed, to 81.80 years in 2020, exceeding Germany, Greece and Belgium. Portugal achieved the largest life-expectancy gain in the comparison. Urbanisation also increased considerably, from 32.62% to 61.22%, but Portugal remained the least urbanised country in the sample, with little change after 2010. Meanwhile, its population declined after reaching its highest reported value in 2000, a trajectory also observed in Greece. Overall, the results indicate strong convergence in longevity alongside persistent differences in settlement patterns and contrasting population trajectories.

C. Did Portugal converge with or diverge from Western Europe? When were the strongest convergence periods?

Portugal experienced long-term convergence in GDP per capita, but the process was uneven. Its GDP per capita increased from 49.1% of the comparison-group average in 1900 to 76.0% in 1990, with the strongest sustained convergence occurring between the 1950s and 1990. Industrialisation, trade opening and European integration provide important historical context for this progress.

After 1990, Portugal diverged from the group average: its relative GDP per capita fell to 68.0% by 2010, reflecting slower growth than the comparison countries. EU accession in 1986 and euro adoption in 1999 were important milestones in European integration, but did not guarantee continued income convergence. Portugal's relative position recovered modestly to 70.1% by 2020, remaining below its 1990 peak. Therefore, the overall pattern is one of substantial long-term convergence, followed by divergence after 1990 and a partial recovery by 2020.

D. How do Poland, Czechia, Hungary, Romania, Estonia, Latvia and Lithuania compare with Portugal after their post-communist transitions (1990 onward)?

Between 1990 and 2020 all seven countries raised their GDP per capita relative to Portugal, at different rates and after an initial transition shock/ decrease (Balcerowicz Plan in Poland, "inflation and industrial collapse" in Romania, 1990). By 2020 Czechia, Hungary, Poland, Estonia and Lithuania had surpassed Portugal, while Latvia and Romania remained below it. Poland and Romania are presented as contrasting cases. Poland shows the strongest convergence: it was the only EU country to avoid recession in 2008. Romania progressed from a much lower starting point, but its recovery was delayed by the 1990s crisis and it joined the EU in 2007, three years after the others (2004). The post-Soviet countries were hit hardest by the 2008 crisis before adopting the euro (2011–2015).

Agriculture's share of value added and employment declined everywhere and services expanded, but Portugal remained more service-oriented, while Central/Eastern Europe kept a larger industrial sector. Romania combined lower income with a larger agricultural and a smaller services share, pointing to slower structural change.

Portugal kept the highest life expectancy (74.94 to 81.8 years). Poland narrowed the gap (71.86 to 77.14) with a stable population of about 38 million, whereas Romania improved (69.63 to 75.04) but lost population (22.7 to 19.4 million) and urban share (53.83% to 52.27%).

Historical events provide context for these developments. The transition from communist rule initiated major economic restructuring, while EU enlargement in 2004 and Romania's accession in 2007 strengthened integration with European markets and institutions. The 2008–2009 financial crisis and the COVID-19 pandemic disrupted growth. Overall, the

comparison shows substantial but uneven economic convergence, with Poland illustrating the extent of income catch-up and Romania highlighting the persistence of development gaps.